

Impact on the Market due to Modi-Era Government Policies (2014–2025)

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2014

Make In India

- Highest gains – Manufacturing, Capital Goods, Infrastructure, Electronics, Defense, MSMEs.
- Lowest gains – Import-dependent sectors (due to protectionism and local sourcing rules).

Jan Dhan Yojna

- Highest Gain: Banking, Payments, Fintech, IT, Telecom.
- Highest Lose: Informal rural banking, microfinance relying on cash.

2015

Digital India Mission

Banking, payments, fintech, IT, telecom backbone for UPI and DBT.

2016

Startup India and Standup India

- Highest Gain: Technology, Fintech, E-commerce, Consumer Internet, SaaS, Venture-backed stocks.
- Highest Lose: Traditional retail and logistics firms slow to adapt.

Demonetization

- Highest Gain: Banking, NBFCs, Digital Payments, IT, Utilities, Telecom, Power.
- Highest Lose: Real Estate, Auto, Consumer Durables, informal/unorganized sectors.

Insolvency & Bankruptcy Code (IBC) – 2016

- Highest Gain: Banking, NBFCs, Corporate Bond Markets (due to better resolution & asset quality).
- Highest Lose: Stressed corporates, legacy industrials, defaulting promoters (loss of assets/ownership).

Defense Indigenization (2016 onwards)

- Highest Gain: Defense PSUs, Private Defense Manufacturing, Engineering firms.
- Highest Lose: Legacy importers (lost contracts).

2017

Goods & Services Tax (GST) (2017–2025)

- Highest Gain: FMCG, Cement, Auto, Electronics, Insurance, Pharma, Agriculture Machinery, MSMEs, Infrastructure, Real Estate.
- Highest Lose: High-end Apparel, Coal, Luxury Goods, Tobacco, Premium Hospitality.

Affordable Housing & RERA (2017)

- Highest Gain: Listed Real Estate Developers, Housing Finance, Cement, Construction.
- Highest Lose: Small/unlisted builders, brokers.

2018

Ayushman Bharat & National Health Policy

- Highest Gain: Pharma, Hospitals, Medical Devices, Insurance.
- Highest Lose: Small providers unable to meet new standards.

2019

Corporate Tax Cuts & Regulatory Ease

- Highest Gain: Auto, Oil & Gas, Cement, Manufacturing, Consumer Stocks.
- Highest Lose: Firms already on low tax rates (minimal relative benefit).

2020

Aatmanirbhar Bharat / COVID Stimulus

- Highest Gain: Pharma, Healthcare, FMCG, IT, Telecom, Agriculture, Digital Economy.
- Highest Lose: Aviation, Hotels, Travel, Real Estate.

Production-Linked Incentive (PLI) Schemes – 2020 onwards

- Highest Gain: Electronics, Pharma, Medical Devices, Chemicals, Textiles, Telecom, Food Processing.
- Highest Lose: Sectors outside PLI (legacy manufacturing, conventional services).

2021–2022

FDI Liberalization (Insurance, Retail, Defense, Railways)

- Highest Gain: Insurance, Defense, Retail, Railways, Banking.
- Highest Lose: Small & medium competitors lacking capital access.

Corporate Tax Cuts (second wave, 2022)

- Highest Gain: Auto, Oil & Gas, Cement, Manufacturing, Consumer Stocks.
- Highest Lose: Firms already on low tax rates (minimal relative benefit).

2025

GST Rationalization (GST 2.0)

Major slab cuts, consumption boost.

Flow of Reforms:

- 2014–2016: Financial inclusion + manufacturing push.
- 2016–2017: Big structural reforms (Demonetization, IBC, GST).
- 2018–2020: Health, tax, and crisis-response (COVID + Aatmanirbhar).
- 2020–2025: PLI, FDI liberalization, infra capex, GST 2.0 → focused on investment, exports, and consumption.

From the aforementioned timeline, it is clearly evident that the government has planned extensively in order chalk out the plans best for the economic growth of the country.

Winners were sectors linked to consumption, finance, digital, infra, defense, and manufacturing. Losers were legacy industries, unorganized/cash-driven businesses, and firms exposed to stricter compliance or global competition.

The document and the policy timeline make it clear that banks and the financial system have been at the core of Modi government's reforms since 2014 (Jan Dhan Yojana, Demonetization, PSU bank recapitalization, IBC, Digital India, UPI, etc.).

The reasons why the government focused so heavily on improving the stature of banks are:

1. Banks are the backbone of the economy

- In India, 70%+ of financial intermediation flows through banks, unlike in developed markets where bond markets and equity financing are bigger.
- If banks are weak (high NPAs, low credit growth), the entire economy slows down. Strengthening banks was necessary to drive investment and consumption.

2. Cleaning up the bad loan crisis (NPAs)

- By 2014, PSU banks were weighed down by massive bad loans (NPAs), especially in steel, infra, and power sectors.
- Measures like Insolvency & Bankruptcy Code (2016) and recapitalization (2017–2020) were introduced to fix balance sheets and restore credit flow.

3. Formalization of the economy

- Demonetization (2016) and GST (2017) pushed cash-heavy businesses into formal banking channels.
- This meant banks needed to be strong to absorb new deposits, handle UPI/digital transactions, and extend credit to organized businesses.

4. Financial inclusion = political + economic capital

- Schemes like Jan Dhan Yojana brought 500+ million new bank accounts, which not only expanded financial access but also gave the government direct benefit transfer (DBT) capability.
- Strong banks = efficient subsidy delivery = lower leakages + political goodwill.

5. Credit is fuel for growth

- To meet targets like \$5 trillion economy, India needs high investment in infra, manufacturing, startups, housing.
- All of this requires cheap and abundant credit, which can only flow if banks are healthy.

6. Global investor confidence

- Foreign investors watch the banking sector's health as a proxy for India's economic stability.
- Reforms like PSU mergers, Basel III recapitalization, and digital banking signaled discipline and modernisation, improving India's image.

7. Shift towards digital and inclusive growth

- With UPI, Jan Dhan, DBT, Aadhaar linkage, the banking system became the platform for financial digitization.
- This opened opportunities for fintechs, NBFCs, insurance, and wealth management — sectors that later contributed to NSE's rally.

In essence: a weak banking system = weak economy. Modi govt understood that without fixing banks, none of the other reforms (GST, Make in India, infra push, startups, PLI) could deliver results. By strengthening banks, they ensured the “pipes” of the financial system were unclogged, allowing credit, investment, and consumption to flow freely.

History teaches us a lot

1. Lessons from India's own past

- 1991 Balance of Payments Crisis: India nearly defaulted, had to pledge gold. Weak financial institutions, poor reserves, and inefficient banks were blamed. That crisis pushed India toward reforms.
- 2008 Global Financial Crisis: Though India was less hit, it exposed the fragility of PSU banks, especially as NPAs started rising after the stimulus years.
- By 2014, Modi inherited a “twin balance sheet problem”: corporates over-leveraged + banks drowning in NPAs.

⇒ History showed that without strong banks, India's growth was always vulnerable. So, they didn't want to repeat 1991 or 2008 mistakes.

2. Building buffers like China & East Asian economies

- Countries like China, South Korea, Singapore built high foreign exchange reserves and strong banks to:
 - attract global investors,
 - avoid dependence on IMF/World Bank,
 - finance large infrastructure programs.
- India emulated this — focusing on reserves (from \$300B in 2014 to \$600B+) and banking reforms together.

⇒ Strong reserves + banks = macro stability + confidence for Make in India, Startup India, PLI, etc.

3. Post-2008 Global Crisis playbook

- After 2008, US, EU, Japan pumped liquidity and recapitalized banks to stabilize their economies.
- The Modi government applied a similar strategy at India's scale: PSU recapitalization, mergers, RBI reforms, and digital financial infrastructure (UPI, Aadhaar-linked banking).

⇒ Inspired by how the West used banks as levers to revive growth.

4. Financial inclusion as nation-building

- Inspired by models like Brazil's Bolsa Família and Kenya's M-Pesa, India launched Jan Dhan + UPI to give every citizen a bank account and payment access.
- This was not just economic, but also political nation-building: it linked welfare, subsidies, and credit directly to citizens.

5. Protection from global shocks

- India had witnessed how fragile countries (Argentina, Turkey, Sri Lanka) collapsed under external debt and weak banking supervision.
- By making banks stronger and reserves higher, India ensured self-reliance in crises (COVID, oil shocks, geopolitical tensions).

⇒ This aligns with the “Aatmanirbhar Bharat” narrative.

6. Political economy angle

- Strong banks gave the government direct reach to citizens (through DBT, loan schemes, Mudra Yojana).
- This reduced the middlemen in welfare delivery — a major political gain.
- It also made credit cheaper for small businesses, startups, and MSMEs — critical for job creation.

So, why did the Modi government take this step? Because history (1991, 2008, NPA crisis) taught India that weak banks = weak economy. And global examples (China, US post-2008, Brazil, Kenya) showed that strong banks + reserves = growth, stability, and political leverage.

India didn't want to be vulnerable like Argentina or Sri Lanka; instead, it chose the China-style path of bank-led growth with strong reserves.

Charts of the Banks Listed in the Stock Market (Growth Stories)

HDFC Bank — Growth

- Story: Strong retail franchise, steady NIMs and fee income; very strong share-performance through most of the period.
- A transformational event was the merger of HDFC Ltd into HDFC Bank (consummated July 1, 2023) which materially expanded its balance-sheet and product mix and changed comparability of prior financials.
- That merger reinforced HDFC Bank's growth narrative through 2023–25. HDFC Bank+1

ICICI Bank — Recovery → Growth

- Story: After governance controversies around 2018 (Chanda Kochhar case) and earlier NPA worries, ICICI cleaned up its balance-sheet and governance, returning to strong retail lending growth and earnings recovery through 2019–2025.
- The bank's stock underperformed during the scandal years but recovered as asset quality improved and management stabilized. The Economic Times+1

State Bank of India (SBI) — Growth (scale + consolidation)

- Story: SBI remains India's largest bank; a major consolidation occurred when SBI merged five associate banks and Bharatiya Mahila Bank into itself on 1 April 2017, strengthening scale and branch reach.
- Its performance since 2017 has been cyclical (PSB NPA cleanups 2017–20, recovery since 2021) but overall larger and more diversified. JIER

Axis Bank — Mixed; recovery with episodic slippages

- Story: Axis had NPA/asset-quality pressure mid-late 2010s, improved via provisioning and cleanup, then growth resumed.
- Recent quarters (2024–25) have shown some elevated slippages in pockets, which caused short-term earnings pressure.

Conclusion

The Modi-era economic policies from 2014 to 2025 demonstrate a deliberate and phased approach to structural transformation of the Indian economy. The journey began with financial inclusion and manufacturing push, moved through disruptive reforms like demonetization, IBC, and GST, and later expanded into health, tax relief, stimulus, and industrial policy through PLI and FDI liberalization.

At the heart of these reforms lay the banking and financial system, which served as the foundation for credit expansion, formalization, and digital financial integration. Strengthened banks not only enabled smoother implementation of welfare schemes and digital payments but also catalyzed consumption, investment, and investor confidence.

The winners of this era have been sectors aligned with digital adoption, infrastructure, defense, manufacturing, and consumption growth, while legacy and unorganized sectors faced challenges in adapting. History and global examples underline why India pursued a bank-led growth model supported by strong reserves — ensuring resilience against crises and sustaining long-term growth.

In sum, the Modi government's reforms reinforced India's economic architecture, prioritizing inclusion, stability, and competitiveness, with the financial system at its core. This decade of reforms has not only reshaped market dynamics but also positioned India for sustained growth in the coming decades.